

23SMCV03841 23SMCV03841

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TENTATIVE RULING

July 8, 2026

23SMCV03841 (Zagha, et. al. v.
Taylor, et. al.)

*Continued from June 17, 2026

RELEVANT BACKGROUND

On

August 17, 2023, plaintiffs/cross-defendants Morris M. Zagha and Rachel A. Zagha, Trustees of the Zagha Trust dated October 12, 2004 (Zagha), and Ed Kass, Trustee of the Kass Family Trust dated July 3, 2012, (Kass) (collectively Lenders or Plaintiffs) filed their initial complaint against defendant/cross-complainant Christian Taylor (Taylor or Defendant). On February 10, 2025, Lenders filed their operative first amended complaint (FAC) against Taylor, alleging two causes of action for (1) declaratory relief; and (2) restitution/unjust enrichment.

On August 29, 2023, Lenders recorded a lis pendens against both properties. See Notice of Filing Notice of Pendency of Action.

On

April 2, 2024, Taylor filed his initial cross-complaint against the Lenders. Taylor filed a first amended cross complaint on February 11, 2025. On October

31, 2025, Taylor filed his operative second amended cross complaint (SACC) against Lenders alleging five causes of action: (1) identity theft; (2) Rosenthal Fair Debt Collection Practices Act – Civil Code § 1788; (3) unfair competition law – Business & Prof. Code § 17200; (4) cancellation of instrument – Civil Code § 3412; and (5) slander of title. 22

On

April 30, 2026, the Court granted Taylor's motion for summary adjudication (the MSA) of his claim under Civil Code § 3412 (section 3412) for cancellation of the forged DOT instrument on the grounds that it was void ab initio and harmed him by clouding his title. See Minute Order Granting MSA (4/30/2026).

On

May 5, 2026, Taylor formally (1) tendered recordable equitable liens for all of the benefits that he unknowingly received as a result of the void Loan transaction and (2) demanded that the Lenders remove the lis pendens and void the DOT as clouds on his title so that he can sell the Property and pay them out of the proceeds of the sale. (Fredman Dec., Ex. A.)

INSTANT MOTION

On

May 27, 2026, Taylor filed the instant motion for an order expunging the lis pendens and cancelling the void deed of trust. Plaintiffs filed an opposition, and Taylor filed a reply.

On

June 17, 2026, insurance counsel for the Lenders (James Treadwell) appeared at the hearing on the instant Expungement Motion and requested a continuance of the hearing based on the settlement in principle. Over Taylor's objections, the Court continued the hearing to July 8, 2026 to coincide with the final status conference before the trial. The instant motion was continued from June 17, 2026 to July 8, 2026.

On

July 1, 2026, the Court granted Taylor's ex parte application to continue trial and final status conference but maintain the instant Expungement Motion hearing now scheduled for July 8, 2026.

REQUEST FOR JUDICIAL NOTICE

Plaintiffs'

request for judicial notice is granted.

DISCUSSION

I. MOTION TO EXPUNGE LIS

PENDENS

A lis pendens

is an instrument recorded in the office of the county recorder that gives constructive notice of a pending lawsuit affecting title to the real property described in the lis pendens. (Gale v. Superior Court (2004) 122 Cal.App.4th 1388, 1395.)

Recordation

of a lis pendens is required by statute for some actions, such as actions to quiet title. (See Code Civ. Proc., § 761.010.) In addition, recordation of a lis pendens is permitted in any action by a claimant who has a "real property claim." (Code Civ. Proc., § 405.1.) A real property claim is a cause of action that, if successful, would affect title to or right of possession of specific real property or the use of an easement identified in a pleading. (Id., § 405.2.) A real property claim means "the cause or causes of action in a pleading which would, if meritorious, affect (a) title to, or the right to possession of, specific real property or (b) the use of an easement identified in the pleading, other than an easement obtained pursuant to statute by any regulated public utility." (Id., § 405.4.)

The

Legislature has provided statutory procedures by which a lis pendens may be removed or "expunged." (Code of Civil Procedure § 405.30 et seq.; Shah v. McMahon (2007) 148 Cal.App.4th 526, 529; De Martini v. Sup.Ct. (Gupta) (2024) 98 Cal.App.5th 1269, 1275.) A lis pendens may be expunged on any of the following grounds: (1) Improper lis pendens: The lis pendens is improper because (a) the complaint does not contain a "real property claim"

(Code Civ. Proc., § 405.31); or (b) the plaintiff cannot establish its “probable validity” by a “preponderance of the evidence.” (Id. § 405.32.) (2) Lis pendens proper, but bond provides adequate security: Even if the real property claim has probable validity, a lis pendens will be expunged if the court finds adequate relief can be secured to the claimant by the giving of an undertaking. (Id. § 405.33) (3) Defect in service or filing: Defects in statutory service and filing requirements are grounds for expungement. (Id. § 405.23.)

Code

of Civil Procedure section 405.31 provides, in relevant part, that “the court shall order the notice expunged if the court finds that the pleading on which the notice is based does not contain a real property claim.” (Code Civ. Proc., § 405.31.) “If the pleading filed by the claimant does not properly plead a real property claim, the lis pendens must be expunged upon motion under CCP 405.31.” (Kirkeby v. Superior Court (2004) 33 Cal.4th 642, 647.) “In making this determination, the court must engage in a demurrer-like analysis.” (Id. at p. 648.) Where a motion to expunge a lis pendens has been filed, the proponent of the lis pendens carries the burden of establishing the existence of a real property claim and that it is probably valid. (Code Civ. Proc., §§ 405.30, 405.32.)

“The court shall direct that the party prevailing on any motion under this chapter be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust.” (Code Civ. Proc., § 405.38.)

Equitable Subrogation

“[E]quitable subrogation allows a lender who pays off a borrower's debt to a creditor ‘to succeed to the rights and remedies of the creditor so paid.’” (Bank of New York Mellon v. Citibank, N.A. (2017) 8 Cal.App.5th 935, 947-948.) “As applied in the real property context, equitable subrogation provides an exception to the ‘first in time, first in right’ system of lien priorities where equity requires a different result.” (Id. at p.

948.) "The prerequisites to the assertion of a right of subrogation are these: (1) Payment must have been made by the subrogee to protect his own interest. (2) The subrogee must not have acted as a volunteer. (3) The debt paid must be one for which the subrogee was not primarily liable. (4) The entire debt must have been paid. (5) Subrogation must not work any injustice to the rights of others." (American Contractors Indemnity Co. v. Saladino (2004) 115 Cal. App. 4th 1262, 1268, citing Caito v. United California Bank (1978) 20 Cal. 3d 694, 704).

Here,

Taylor's motion seeks an order requiring Plaintiffs to remove the clouds from Taylor's title. Taylor argues that Plaintiffs have no equitable right or reason to encumber the Property, particularly when Taylor has tendered equitable liens that would secure and restore to them everything of value that he received in the Loan transaction. Further, Taylor asserts that expungement of the lis pendens is proper because Plaintiffs have no real property claim of probable validity, citing Code of Civil Procedure sections 405.31-405.32 and Urez v. Superior Court (1987) 190 Cal.App.3d 1141.

In Urez,

a real party in interest that held a defunct second trust deed on property brought an action against a corporation that had acquired property through a foreclosure sale, in which the real party alleged there had been fraud and deceit, and sought declaratory relief and imposition of a constructive trust on the property. (Id. at p. 1143.) Thereafter, the real party filed and recorded a lis pendens, and the corporation moved to expunge it. (Id. at p. 1144.) The trial court denied the motion, and the Court of Appeal held that: (1) expungement of lis pendens is required unless the party who filed notice of it demonstrates by a preponderance of the evidence that the underlying action affects title to or the right to possession of the real property described in the notice and was brought for a proper purpose and in good faith; (2) an action for money damages alone will

not support a lis pendens; and (3) expungement of the lis pendens was required where the underlying action was essentially seeking money damages under a fraud theory, with additional allegations urged to support equitable remedies of constructive trust or equitable lien. (Id. at pp. 1149-1150.) The court explained:

[Plaintiff]

contends that he was a secured creditor prior to foreclosure and what he seeks in this action is an interest in the subject property that will reinstate this status. But the fact remains that this purported interest does not go to legal title or possession of the subject property. Even before foreclosure, real party was a lienholder whose lien did not transfer any interest in title. (Civ. Code, § 2888.) He does not seek rescission of the foreclosure sale or conveyance of the subject property to himself. At bottom, the "beneficial" interest real party claims in the subject property is for the purpose of securing a claim for money damages. In our view allegation of this interest is not an action affecting title or possession of real property.

(Id. at p. 1149.)

Taylor argues that Plaintiffs cannot satisfy their burden of proving any real property claim of probable validity because Taylor has already prevailed against their effort to enforce the void DOT, and Plaintiffs have not proven that their conduct likely satisfies the equitable prerequisites for the equitable relief they seek.

In opposition, Plaintiffs argue that the FAC asserts a real property claim, pointing to paragraph 23. (FAC ¶ 23 ["Plaintiffs are entitled to subrogation rights in and to the Subject Property, the imposition of an equitable lien against the Subject Property, in the position of priority in the Subject Property, to the extent of the payoff, that Wells Fargo, or its successors-in-interest, held prior to the payoff of the First Capital Note secured by the lien of the First Capital [DOT], and the right to foreclose upon the equitable lien in the manner prescribed by law."].)

Plaintiffs attempt to distinguish Urez on the basis that the FAC here is not seeking only money damages, under the Second Cause of Action for Restitution / Unjust Enrichment, but is also seeking the imposition and foreclosure of an equitable lien on 313 Market Street, based upon the payoff of the prior, valid First Capital DOT. Plaintiffs state that the First Cause of Action for Declaratory Relief requests the right to foreclose upon the equitable lien in the manner prescribed by law, which would implicate and impact title to and possession of 313 Market Street.

But Plaintiffs' claim for an equitable lien in this case does not support a lis pendens because the claim "act[s] only as a collateral means to collect money." (Urez, supra, at p. 1149; see also Civ. Code § 2888 [lien does not transfer title].) The Court agrees with Taylor that Urez supports his position. Like Urez, Plaintiffs seek equitable restitution of the allegedly unjust enrichment that Taylor received as a result of the void Loan transaction. The equitable lien sought by Plaintiffs as security for the money they are allegedly owed does not affect title to the Property so as to support a lis pendens.

The Court is not persuaded by Plaintiffs' argument that the prayer for foreclosure creates a real property claim of probable validity, because Lenders offer no support for their assertion that they will likely obtain a judgment of foreclosure in this case.

Additionally, the Court finds that Plaintiffs have not satisfied their burden of proving the probable validity of any claim purporting to affect title of the Property. Also, the Court's prior ruling on the MSA controls the judgment in this case with respect to title to the Property. (Code Civ. Pro. § 437c(k); Minute Order Granting MSA dated 4/30/2026.)

Lastly, the Court is not persuaded by Plaintiffs' argument regarding the equitable subrogation doctrine. As Taylor

points out in reply, Plaintiffs' invocation of the doctrine here does not distinguish this case from Urez because here, as there, the claim "act[s] only as a collateral means to collect money." (Urez, supra, at p. 1149; see also Civ. Code § 2888 [lien does not transfer title].)

Accordingly, the motion to expunge lis pendens is GRANTED.